

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-25

**B & G FUTURES INC. – REVOCATION OF OCEAN TRANSPORTATION
INTERMEDIARY LICENSE NO. 026512**

VERIFIED STATEMENT OF CINDY HENNIGAN

1. My name is Cindy Hennigan, and I am the Director for the Bureau of Certification and Licensing (BCL) at the Federal Maritime Commission (Commission). My office address is 800 North Capitol Street, N.W., Suite 970, Washington, D.C. 20573. I have been employed by the Commission for 30 months. I have personal knowledge of the facts stated herein and could competently testify herein.
2. In my capacity as the BCL Director, under authority delegated by the Commission pursuant to 46 C.F.R. § 501.16, it is my obligation to keep the shipping public safe. I make the final decision on whether an OTI license is granted based on supported documentation and recommendations from my analyst team of their findings. During my tenure in this position, I have reviewed and supported over 1,500 new and amended license applications in addition to numerous cancellations and revocations.
3. Documents submitted to the Commission by B & G Futures Inc. (B & G Futures) and website findings indicated that B & G Futures is an Ohio corporation, organized in 2016, with its principal office located at 3700 Columbus Rd NE, Canton, Ohio, 44705.
4. According to BCL records, B & G Futures has been licensed to operate as an OTI pursuant to FMC license no. 026512 since October 2017. Records also show that Mr. Robert Waalkes was the Secretary of B & G Futures from August 1, 2017 (date of Filing ID 110235, FMC18) and was approved as the Qualifying Individual on September 5, 2017. License no. 026512 was effective October 3, 2017, with license letter confirming Robert Waalkes as Secretary/QI.
5. On or about October 2021, my team became concerned about Robert Waalkes's employment with B & G Futures. I began to be copied on emails starting November 15, 2021, to Steve DiPietro (President and 50% owner of B & G Futures) from Cliff Johnson, former BCL Special Advisor, requesting Mr. DiPietro provide the start and end dates of Mr. Robert Waalkes. The email thread began September 9, 2021, with receipt of B & G Futures' bond termination, received from B & G Futures' bond company.

The email thread continued with Cliff Johnson on October 4, 2021, notifying Chirag Vyas (contact for B & G Futures) that the Ocean Freight Forwarding authority would be cancelled effective October 9, 2021, for failure to maintain the financial responsibility. The response on October 4, 2021, from "B & G Futures Team" attached a replacement Ocean Freight Forwarder bond. Cliff Johnson confirmed receipt and on October 8, 2021, sent an email to Steve DiPietro asking if Robert Waalkes remained a full-time employee and an officer of B & G Futures. On October 12, 2021, Steve DiPietro replied that he thought DPI had updated the QI. Cliff Johnson replied on October 12, 2021 and asked the start and end date of employment of Mr. Waalkes and to submit a replacement QI application no later than 30 days from the date of the email. Cliff Johnson then sent the November 15, 2021, email where I was copied in, as previously stated, again asking for the start and end dates of Mr. Waalkes employment.

6. After numerous correspondences, lack of requested information from B & G Futures, and analyzed BCL records on file, evidence indicated this entity had a character issue of misrepresentation. Therefore, I concurred with my team's recommendation to issue B & G Futures an intent to revoke notification.

I certify, under the penalty of perjury, that the foregoing is true and correct to the best of my knowledge, information, and belief.

CINDY
HENNIGAN

Digitally signed by CINDY
HENNIGAN
Date: 2022.12.07 16:35:32 -05'00'

Cindy Hennigan, Director
Bureau of Certification and Licensing

Executed this 7 day of December 2022